SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Galium Limited ("Galium") is listed on the Main Board of The Stock Exchange of Hong Kong Limited ("HKEX") and is not one of the Hang Seng Composite LargeCap Index constituents. Galium and its subsidiaries ("Group") are engaged in the fashion industry. Companies in the Group have a financial year end date of 31 December and apply Hong Kong Financial Reporting Standards in the preparation of financial statements. As required by the listing rules, Galium prepares its Environmental, Social and Governance ("ESG") report.

The global fashion industry has seen significant changes in recent years, driven by the rapid growth of e-commerce and the evolving preferences of consumers. To remain competitive, Galium acquired 70% of the ordinary shares of Helium Limited ("Helium") and 40% of the ordinary shares of Iodine Limited ("Iodine").

Acquisition of Helium

Helium is recognised for its commitment to design-driven, high-quality apparel and accessories. Helium has cultivated a strong reputation, primarily through its extensive network of physical retail locations. Helium produces a diverse range of clothing which is made possible by a dedicated team that includes skilled designers, quality assurance professionals, and a robust team of operational and marketing staff.

Helium not only oversees the design and retail aspects of its business but also operates its own factory and warehouse. This integration allows for greater control over production processes and quality standards. Helium maintains a well-managed inventory by its inventory management system which allows it to respond swiftly to seasonal trends.

On 1 January 2024, Galium paid HK$45,850 million to acquire 70% shareholding in Helium ("Acquisition"). All the employment contracts of Helium's staff remained unaffected by the Acquisition. Before the Acquisition, Galium had several wholly-owned subsidiaries. Helium has then become the only non-wholly-owned subsidiary within the Group, marking this as the only acquisition of a subsidiary during the year ended 31 December 2024.

On 1 January 2024, Helium had a share capital of HK$22,200 million and retained earnings of HK$42,200 million. On the same day, the fair value of Helium's recorded net assets was equal to their carrying amounts:

	HK$ million
Property, plant and equipment	54,200
Inventories	34,400
Trade receivables	21,500
Cash	15,300
Trade and other payables	61,000

Helium had an internally generated customer list and had a fair value of HK$900 million as at 1 January 2024. Such customer list had a useful life of 3 years from 1 January 2024. Galium chose to measure the non-controlling interest in Helium at its fair value as at the acquisition date, which was measured at HK$19,650 million.

Helium recorded HK$11,800 million profit after tax for the year ended 31 December 2024. Helium declared and paid dividends in October 2024.

<u>New business developments in Helium</u>

In 2020, Helium launched its website ("Website"), which was initially designed to display product photos and provide basic brand information. Recognising the increasing significance of e-commerce in the retail sector, Helium transitioned its business model to generate sales online. Consequently, Helium undertook a comprehensive upgrade of the Website in January 2025 ("Revamp").

This Revamp included the integration of e-commerce functions, enabling customers to browse and purchase products directly from the Website. During the first three months of 2025, Helium incurred HK$80,000 for feasibility studies related to the Revamp and paid a consulting firm HK$950,000 for developing the Website's infrastructure including the online ordering system. The revamped Website was launched on 1 April 2025. Since then, Helium has incurred a monthly maintenance fee of HK$10,000 for the Website.

Helium leveraged its revamped Website to introduce a customer loyalty programme ("Scheme") designed to enhance customer retention. From 1 April 2025, customers earn 1 point ("Point") for every HK$20 spent, with each Point redeemable for HK$1 off purchases in the future. To participate, customers must register for an account with Helium, allowing them to track their points.

As part of this transition to online sales, Helium needs to partner with a logistics company capable of efficiently delivering products to online shoppers. In evaluating logistics providers, Helium considered their sustainability performance, specifically on greenhouse gas emissions.

The extracts below were the discussions among Helium's directors on 27 June 2025:

Hilliary So (Sales and Marketing Director):	Since 1 April 2025, customers registered under the Scheme have contributed a total spending of HK$50 million, granting a total of 2,500,000 Points. Our team estimated that 90% of the Points will be redeemed before they expire, which occurs one year after they are granted. By now, 600,000 Points were redeemed.
Koby Li (Operations Director):	Our Website has been operating efficiently with impressive traffic statistics. In terms of the costs associated with the Website Revamp, I believe we should maintain the same accounting treatment established in 2020. I do not see any difference in how we account for website development costs. I also believe that the introduction of the Scheme will not impact our revenue recognition. All spending from customers registered under the Scheme (i.e. HK$50 million) should continue to contribute to our sales for the six months ending 30 June 2025.

Acquisition of Iodine

On 1 January 2024, Galium paid HK$17,480 million to acquire 40% shareholding in Iodine, after which Iodine has become the first associate in the Group. Iodine is a mid-sized online fashion retailer known for its vibrant designs and eco-friendly practices. On 1 January 2024, Iodine had a share capital of HK$9,700 million and retained earnings of HK$33,880 million. On the same day, the fair value of Iodine's net assets was equal to their carrying amounts. Iodine recorded HK$5,800 million profit after tax for the year ended 31 December 2024. Iodine declared and paid dividends in August 2024.

Financial information of the Group

The Group recorded HK$324,070 million profit before tax and paid HK$52,270 million tax for the year ended 31 December 2024. The consolidated statement of financial position of the Group as at 31 December is shown below:

	Note	2024 HK$ million	2023 HK$ million
ASSETS			
Non-current assets			
Property, plant and equipment	1	254,810	100,030
Intangible assets	2	71,600	71,000
Goodwill	3	11,380	12,000
Investment in an associate		18,800	-
Current assets			
Inventories		67,000	33,900
Trade receivables		50,000	28,900
Cash and cash equivalents		51,000	29,990
Total assets		524,590	275,820
EQUITY AND LIABILITIES			
Equity			
Share capital		9,520	9,520
Retained earnings		350,120	182,000
Non-controlling interest		21,330	-
Current liabilities			
Trade and other payables		143,620	84,300
Total equity and liabilities		524,590	275,820

Note 1: The Group purchased several machines in June 2024 by paying HK$185,080 million cash. There was no disposal of property, plant and equipment items. The Group properly recorded depreciation expense during the year.

Note 2: The balance of intangible asset as at 31 December 2023 represented items with indefinite useful life. The increase in balance represented additions through the Acquisition. There was no disposal of intangible asset.

Note 3: The only impairment loss during the year ended 31 December 2024 related to goodwill arising from the acquisitions of the wholly-owned subsidiaries in the previous years. There was no disposal of subsidiary.

It is the Group's policy to classify dividend received and dividend paid as an investing and financing cash flow respectively.

Question 1 **(8 marks – approximately 14 minutes)**

Analyse, based on the information provided, whether Helium in the Acquisition qualifies as a business in HKFRS 3 *Business Combinations*.

(8 marks)

Question 2 **(20 marks – approximately 36 minutes)**

Assume Helium qualifies as a business.

Required:

(a) Calculate:

(i) the goodwill arising from the Acquisition;
(ii) the profit attributable to the non-controlling interest on the Group's consolidated financial statements for the year ended 31 December 2024;
(iii) the dividends received by Galium from Helium in October 2024; and
(iv) the dividends received by Galium from Iodine in August 2024.

(8 marks)

(b) Prepare extracts of the Group's consolidated statement of cash flows for the year ended 31 December 2024, showing ONLY the cash flows from operating activities using the indirect method in HKAS 7 *Statement of Cash Flows*.

(12 marks)

Note: No explanation is required; however, you must show supporting calculations. Taxation effect on any difference arising between the carrying amount of net assets and the fair value on acquisition is ignored.

<u>Question 3</u> (19 marks – approximately 34 minutes)

You are the Accounting Manager of Helium. Jonathan Wan, the Chief Finance Officer of Helium, asked for your assistance so that he can update the board members in relation to the matters discussed in the board meeting.

<u>Required:</u>

Prepare a report for Jonathan. This report should address the following:

(a) analyse the accounting treatments for the costs associated with the Revamp of the Website, comparing them to the costs incurred for establishing the Website in 2020;
(9 marks)

(b) analyse, based on the information provided, whether the introduction of the Scheme would affect revenue recognition of Helium, focusing on the key accounting issues, with supporting calculations, arising from the Points, on its financial statements for the six months ending 30 June 2025.

Note: You can assume that Helium did not provide any other discounts during this period. You can express your calculations to the nearest HK$'000 if needed.
(10 marks)

Note: A maximum of 2 marks for communication skill will be awarded.

<u>Question 4</u> (3 marks – approximately 6 minutes)

Describe the disclosure obligations regarding greenhouse gas emissions from the logistic partner in the preparation of the Group's ESG reports starting from 2025, considering the latest developments in the ESG Reporting Code. You are required to identify which scope of greenhouse gases these emissions should be classified under.
(3 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (16 marks – approximately 29 minutes)

Bravo Limited ("BL") is a company incorporated in Hong Kong which has a financial year end date of 31 December. BL is a computer manufacturer. Stephen, the financial controller of BL, is considering the accounting treatment of the following activities of the company.

Construction of a new manufacturing machinery

On 1 March 2023, BL commenced construction of a new manufacturing machinery, which was completed and determined to be ready for use on 30 September 2024.

During the construction stage and testing stage, Stephen recognised in the financial statements for the year ended 31 December 2024 the following:

- the costs of testing incurred for assessing the technical and physical performance of the machinery were included in the cost of the machinery;
- the proceeds from selling of the samples produced from the testing procedures were deducted from, and the costs of producing the samples were included in, the cost of the machinery; and
- the borrowing costs that are directly attributable to the construction of the machinery incurred were included in the cost of the machinery.

Net realisable value (NRV) assessment of inventories

Stephen performed NRV assessment on the stock of laptops, namely Model X, (which are all finished goods) on 31 December 2024. Each laptop cost HK$8,000 to manufacture and this is also its carrying amount. The estimated selling price is HK$10,000 per laptop. Other necessary costs to be incurred to make the sale include marketing and distribution costs, which are estimated to be HK$4,000 per laptop.

In February 2025 (before the financial statements for 2024 financial year were authorised for issue), a fire occurred in the warehouse where the Model X laptops were stored. Some of the Model X laptops were slightly damaged due to the fire. Stephen expected that the estimated selling price for those damaged laptops would drop to HK$7,000 due to a change in sales plan for these products (assuming the costs to repair the damaged laptops are insignificant).

Required:

(a) **Explain whether you agree with Stephen's accounting treatments on the initial cost measurement of the new manufacturing machinery.**

Note: A maximum of 2 marks for analytical skills will be awarded.

(10 marks)

(b) (i) **Explain whether any write-down on the Model X laptops is required at 31 December 2024, and if so, advise the write-down amount.**

(ii) **Explain whether the fire that occurred in February 2025 would affect the NRV assessment on the Model X laptops in the financial statements for the year ended 31 December 2024.**

(6 marks)

Question 6 **(15 marks – approximately 27 minutes)**

Rising Star Limited ("RSL") is a Hong Kong incorporated company and is engaged in investment business. RSL invested in various types of bonds, among which, the key features of Bond A and Bond B are as follows:

- Bond A was issued by a start-up company, Company X, which has a face value of HK$1,000,000 and has a maturity of three years, paying an interest of 2% on the face value per annum. In addition, Bond A pays out an additional return of 1% of Company X's annual net profit during the holding period, which is considered to be a significant part of the investment's return. RSL manages its investment in Bond A with a plan to collect contractual cash flows and for potential sale.

- Bond B was issued by a large property developer in Hong Kong, Company Y. The terms of Bond B are consistent with a basic lending arrangement and meet solely payment of principal and interest test. Bond B was included in the bond trading portfolio of RSL's trading team with the sole purpose of trading securities for short-term profit.

RSL also invested in various types of funds, among which the key features Fund C are as follows:

- Fund C is marketed to the public. The fund units are issued and redeemed by investors regularly and frequently at the quoted price. The underlying investments of Fund C mainly consist of shares of private companies without a quoted price. A daily quoted price of Fund C is published on the fund's website and in newspapers which represent the average redemption price for the previous day's transactions. In developing the quoted price, the manager of Fund C makes reference to the underlying net asset value of the Fund.

  Transfers of fund units are carried out between Fund C and investors, and transfer between investors is not allowed.

Required:

(a) **Advise and explain the financial asset classification and measurement of Bond A and Bond B in accordance with HKFRS 9 *Financial Instruments*.**

(9 marks)

(b) **Determine, with explanation, the fair value hierarchy of the fair value measurement of the RL's investments in Fund C.**

(6 marks)

Question 7 **(19 marks – approximately 34 minutes)**

Lease contract with Customer A

Renaissance Limited ("RL") manufactures motor vehicles for sale and lease and has a financial year end date of 31 December. RL (as a lessor) entered into a four-year lease contract with Customer A to lease a vehicle to Customer A on 1 April 2024, which was also the lease commencement date. The fair value of the vehicle at the inception date was HK$500,000 and the present value of lease payments to be paid by Customer A was HK$460,000. The ownership of the vehicle will be transferred to Customer A at the end of the lease term. A legal fee of HK$20,000 was incurred in forming the lease agreement.

Lease contract of manufacturing plant

In 2024, RL, as a lessee, entered into a new lease agreement to lease a manufacturing plant to expand operations. In studying how to account for reassessment of the extension option contained in the lease contract, Joe, a director of RL, made the following comments:

"For the lease of the new manufacturing plant, we have an option to extend the lease for five more years. Whether this additional period is included in the initial lease term or not initially, we are required to reassess the extension option subsequently upon the occurrence of all the significant external, purely market-based events. On the other hand, when reassessment occurs, the lease liability should be remeasured based on the original discount rate, given that the extension option is a term stipulated in the lease agreement since inception."

Recruitment of a new accounting officer

Annie, the financial controller of RL, is authorised to hire a new accounting officer who is specialised in lease accounting. Her cousin, David, showed his interest in this position and submitted to her a proposal to apply for this job. David also pressured her to accept his proposal. Although David had been newly qualified as a certified public accountant, Annie considered that only a more experienced candidate would be considered suitable for this position. However, considering her family ties with David, Annie decided to hire David without informing RL about her potential conflict of interest. Annie is a member of the Hong Kong Institute of Certified Public Accountants ("HKICPA").

Required:

(a) **For the lease of the vehicle by RL to Customer A,**

(i) **determine, with explanation, the classification of the lease.**

(ii) **advise the accounting treatment by RL on the lease commencement date. Journal entries and related calculations are not required.**

(7 marks)

(b) **Explain whether you agree with Joe regarding his comments on the accounting treatment for the lease agreement of the manufacturing plant.**

(7 marks)

(c) **Identify and explain the relevant fundamental principles that Annie violated, the relevant threats she encountered, and the appropriate actions she may consider taking in the context of the Code of Ethics for Professional Accountants issued by the HKICPA.**

(5 marks)

* * * END OF EXAMINATION PAPER * * *